

## Taxpayers have right to appeal IRS

Last year, some taxpayers received letters from the Internal Revenue Service asking them to provide records for an audit of their Federal Income Tax Returns.

At the conclusion of audits, the IRS gave each of the taxpayers a form to sign saying the taxpayers agreed with the results of their audits, and all signed without question, paying any tax the IRS said they owed.

Right? Wrong! A number of the taxpayers who participated in those audits exercised their right to disagree with the IRS and appeal the examiners' decisions. That right is one of several every taxpayer has.

For example, taxpayers may obtain a variety of publications and printed materials and receive other forms of taxpayer assistance from the IRS in order to file a complete, accurate and timely return. This assistance is available all year. Taxpayers who are delinquent in paying their taxes have the right to expect that IRS collection procedures are as fair and evenhanded as possible.

On the matter of audits, the usual reason for selecting a return for examination is to verify the correctness of the income, exemptions, or deductions that were reported. Some returns are also selected as part of a random sample for research studies. In addition, all high-income returns are automatically screened. An audit, therefore, does not imply that the IRS suspects dishonesty or criminal liability. The ultimate aim is to help ensure that taxpayers pay the correct amount of tax. After all, a taxpayer who pays his or her fair share has a right to expect that others do likewise and that enforcement action is taken against those who don't.

The tax laws are complex and taxpayers can and do have honest disagreements about how those laws should be interpreted. If a taxpayer disagrees with the results of an audit, the examiner explains the administrative appeals process within the IRS, as well as how to appeal through the courts.

If the audit is held in an IRS office, the taxpayer can request a meeting to explain

his or her position to the auditor's supervisor. If an agreement is reached, the case is closed. If not, the taxpayer can appeal.

The first level of appeal is the District conference Staff. District conferees work independently of the examiners and their supervisors, in order to view each case impartially. They pay careful attention to the presentation of the facts, the tax law, and the arguments supporting the taxpayer's position.

If the taxpayer is not happy with the results of the conference or wishes to skip this level of appeal, the case then goes to the second level, the Appellate Division of the Regional Commissioner's office. The appellate conferee is organizationally independent of both the level that conducted the audit and the District Conference Staff. The conferee has the authority to settle any case based on the merits of the case and the "hazards of litigation," weighing the relative chances of success that the IRS of the taxpayer might have in court.

The administrative procedures were developed to allow a taxpayer to appeal with maximum convenience and minimum expense. However, the taxpayer need not appear alone at the audit or conferences, or even appear at all. With written authorization from the taxpayer, an attorney, certified public accountant, or anyone enrolled to practice before the IRS may represent the taxpayer. The taxpayer is also entitled to bring witnesses to support his or her position.

If the taxpayer still does not agree or wishes to skip the administrative appeals system, the case may go to the U.S. Tax Court, the U.S. Court of Claims, or the U.S. District Court. All are independent judicial bodies having no connection with the IRS.

To appeal through the Tax Court, the taxpayer must receive a formal letter called a "Statutory Notice of Deficiency" from the IRS. The taxpayer has 90 days from the date of the notice to file a petition with the Tax Court.

The case will be scheduled in a Court location as convenient as possible to the taxpayer. Again, the taxpayer may have a representative at the hearing.

If the case involves \$1,500 or less for any one tax year, it may be handled under the Tax Court's Small Tax Case procedures. The taxpayer present the case to a Special Trial Judge whose decision cannot be appealed by the taxpayer or the IRS. Decisions by Judges of the

Tax Court rendered under regular procedures, however, may be appealed to the U.S. Circuit Court of Appeals, and then to the U.S. Supreme Court.

To appeal through the District Court or Court of Claims, the taxpayer first pays the disputed tax and then files a claim for refund with the IRS. If the IRS rejects the claim or does not handle the claim within six months, the taxpayer may appeal to either court. The Supreme Court reviews decisions by the Court of Claims, while District Court decisions may be appealed

to the U.S. Circuit Court of Appeals and then to the Supreme Court.

If the decision is in the taxpayer's favor, the IRS will refund the tax and pay interest for the time it held the money.

For more details about audits and how to appeal them, taxpayers should read IRS Publication 556, "Audit of Returns, Appeals Rights, and Claims for Refund." It's free and available from IRS offices.

As mentioned earlier, if the taxpayer does owe the IRS money, he or she has the right to expect fair and

impartial treatment from the Service's collection procedures and personnel. The IRS recommends that taxpayers who believe there is an error in a bill or who cannot immediately pay a bill in full should contact them. That way minor problems can be resolved before they become larger ones.

IRS collection procedures and taxpayer rights in these actions are outlined in the free IRS Publication 586, "The Collection Process (Income Tax Accounts)," like Publication 556, is available from IRS offices.

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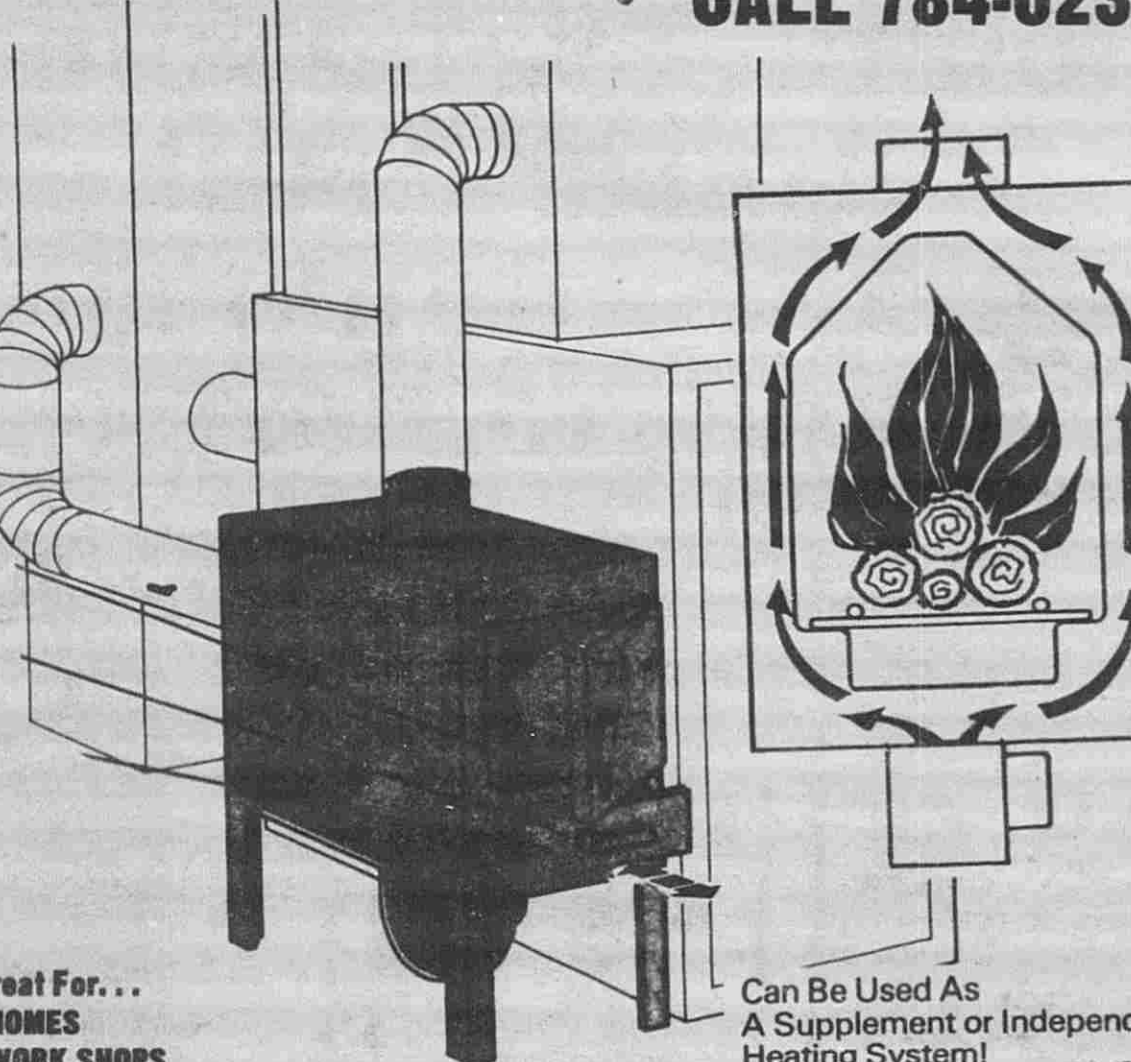
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## Volleyball

Danny Vasilouskas and Eric Olsen are managing the 6th grade volleyball team. The volleyball tournament started about one week before Christmas. The 6th grade play during their lunch hour for something to do. The winners will be presented with some kind of an award. Mrs. Gall is in charge of the teams.

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